Kajaria Ceramics Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

India's big branded tile maker, selling ceramic and vitrified tiles through about 1,800 dealers, plus Kerovit bathware and tile adhesives. It makes tiles in its own North and South India plants and joint ventures, and buys the rest from Morbi in Gujarat.

Number	Value	What it means
Market cap	Rs 18,653 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 1,468 cr	Up 24% on last year: about 10% more volume plus price hikes.
Q2 FY27 EBITDA margin	19.5%	Up from 17.9% a year ago; near a ten-year high, per an analyst on the call.
Q2 FY27 profit	Rs 190 cr	Up from Rs 133 cr a year ago.
Segments	Tiles Rs 1,291 cr (+23%), bathware Rs 124 cr (+22%), adhesives Rs 54 cr (+69%)	Tiles are most of the business; adhesives growing fastest.
Stock P/E	32.3x	A full price for a tile company (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	22 Jul 2025	Yes (key passages)
Q2 FY26	Oct 2025	Yes (key passages)
Interim call	22 Dec 2025	Yes (key passages)
Q3 FY26	30 Jan 2026	Yes (key passages)
Q4 FY26	30 Apr 2026	Yes (key passages)
Q1 FY27	31 Jul 2026	Yes (key passages)
Q2 FY27	26 Oct 2026	Yes, read in full ★

Seven calls over about 15 months; Kajaria has held calls for many years before that.

Latest concall highlights: Q2 FY27 (26 Oct 2026)

- Volume up 10%, across all regions and in both retail and projects; management says the market grew about 5-6%, so it gained share. Revenue up 24%, EBITDA margin 19.5%.
- Gas costs jumped at Morbi (from Rs 50 to Rs 91 per SCM since late February), forcing Morbi makers to raise prices 35-40%. Kajaria's North and South plants raised only 12-13%, cutting its price gap with Morbi from about 40% to 20-25%. Morbi exports are down and 40-50% of its plants are idle.
- Guidance: double-digit volume growth for the next two quarters; margins steady around current levels; no further price hikes planned. Adhesives seen at about Rs 240 cr this year and about Rs 400 cr next year.
- Expansion: Srikalahasti raised to 12.5 million sq m (by end June 2027) and Gailpur 11 million sq m, both GVT tiles. Outsourcing to fall from 42 to about 36-37 million sq m.
- Promoters still not drawing salaries. Ad spending going up. Gas supply looks tight because of the US-Iran conflict.

Business mix & capacity

Domestic vs export: Mostly domestic. Exports aren't broken out; the call says the industry's export demand is weak because of freight and container costs.

Capacity use: Own and JV plants produced 22.9 million sq m in Q2 against 20.7 million capacity, so they're running above rated capacity. Total capacity about 88 million sq m vs about 130 million sq m to be sold this year; the rest is outsourced from Morbi. Nepal JV at 85% use.

3. Earning Trigger thesis

The trigger is a cost shift in Kajaria's favour. Gas prices at Morbi, where the unbranded competition makes its tiles, nearly doubled after late February, while Kajaria's own plants in the North and South get cheaper pipeline gas. That narrowed the price gap between Kajaria and Morbi tiles from about 40% to 20-25%, and Kajaria's volumes picked up to about 10% while margins rose to around 19.5%. Two large new GVT plants come next year, plus faster-growing bathware and adhesives. The catch: it depends on gas staying expensive for Morbi but not for Kajaria, and management has a record of missing its own volume guidance.

Trigger	What management said	Evidence so far	Time horizon	Strength
Morbi cost gap	Price gap with Morbi cut to 20-25%; 'we want to continue that change for all time'	Volume +10% in Q2, +6% in Q1	Now	Strong while gas stays high
New GVT plants	Srikalahasti 12.5 and Gailpur 11 million sq m	Srikalahasti due by end June 2027	FY28	Moderate
Adhesives and bathware	Adhesives about Rs 400 cr next year; bathware margins to near tile levels	Adhesives +69%, bathware +22%	FY27-FY28	Moderate
Cost cutting	Removed about 250 people, cheaper packaging and purchases (Oct 2025)	Margin up from about 15-17% to 19.5%	Done	Strong

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not relevant; short-term borrowings were drawn for JV working capital.
New business	No	Adhesives and bathware growing, but not new this year.
Margin up	Yes	EBITDA margin 19.5% vs 17.9% a year ago; expected to stay around this level (26 Oct 2026).
New management	No	Same promoter team.
New capacity	Yes	Srikalahasti 12.5 million sq m by end June 2027 and Gailpur 11 million sq m expansions on track (26 Oct 2026).
Big orders	No	No order book.
Turnaround	Yes	Volumes back to double digits after flat tile volumes in Q3 FY26 (26 Oct 2026).
Promoter buying	No	Not mentioned; promoters are forgoing salaries.

The single concrete driver: Costlier gas at Morbi narrowed Kajaria's price gap with unbranded tiles, lifting its volumes, with two big new plants coming next year.

3c. Margin bridge

EBITDA margin rose to 19.5% from 17.9% a year ago and 15% in Q1 FY25. Earlier cost cuts (about 250 fewer staff, cheaper packaging and purchases, shutting the plywood unit) did most of the work; then price hikes after the gas shock outpaced Kajaria's own cost rise because its North and South plants use cheaper gas. Management expects margins to stay steady and will put any extra into volume (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jul 2025	Margin improvement and cost cuts	Margin rose from about 16.7% (Q1 FY26) to 19.5%	Delivered

Period	What was promised	What actually happened	Verdict
Oct 2025	'Should definitely have some volume growth' in Q3 FY26	Q3 FY26 tile volumes flat	Missed
Before May 2026	Volume growth guidance (several years)	Chairman: 'I have always given... It didn't work out'; stopped guiding	Missed
Jul 2026	Double-digit volume growth over the next nine months	Q2 FY27 volume +10%	On track
Dec 2025 onwards	New sanitary plant and Srikalahasti and Gailpur expansions	Sanitary plant up; tile expansions on track, Srikalahasti now bigger and due June 2027	On track

Narrative drift: For a couple of years the story was 'volumes will come back' and they didn't, until the chairman dropped guidance in May 2026. Since then the message is tighter: cost discipline, a narrower gap with Morbi, and a single double-digit volume promise that the latest quarter met. The external gas shock did much of the work.

5. Bottom line

Durable earning trigger? → YES

Volumes and margins are both up, for a named reason (Morbi's gas cost jump vs Kajaria's cheaper gas), with new capacity coming next year. It's partly an outside event, so it can fade if Morbi's gas gets cheaper.

Management consistent? → MAYBE

Cost cutting delivered, and the new double-digit volume promise is on track. But they missed volume guidance for years, enough that they stopped giving it.

6. Checkpoints for next quarter

- Q3 FY27 tile volume grows in double digits
- EBITDA margin stays near 19% without new price hikes
- Srikalahasti expansion stays on track for June 2027

This is not investment advice. Do your own due diligence.